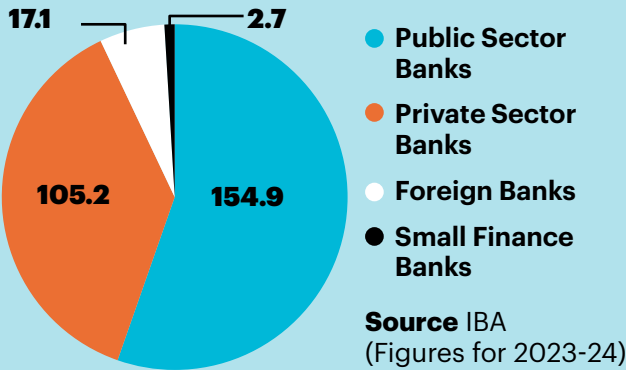


VITAL STATS

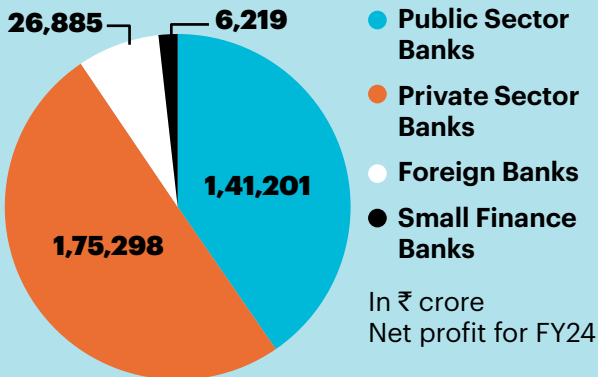
Private sector banks catching up fast...

TOTAL ASSETS (IN ₹ LAKH CRORE)



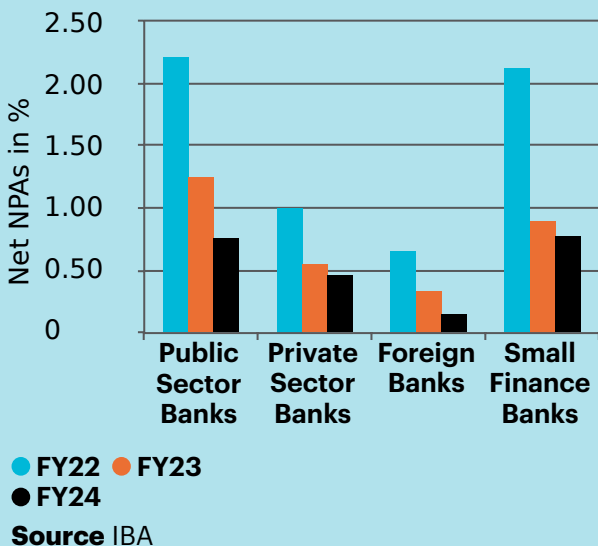
...they also rule in terms of profitability

NET PROFIT



SFBs have the highest delinquencies

NET NPAs



“The deposit challenge not being structural, we do not feel there is an imminent impact on NIMs of the banking sector. Having said that, banks that are innovative and efficient will be able to deliver better in the event of compression of NIMs,” says Gupta of Prime Research & Advisory.

THE DIGITISATION RISK

The surge in digitisation volumes, digital journeys for personal, auto and home loans, and API integrations with hundreds of fintechs bring with them a host of risks like cybersecurity threats, data breaches and hacking. “Now, with more and more things moving to the digital platform, your risks also increase because the entire risk landscape is shifting to digital operations, with IT-related risks. It’s a reality. So, you have to invest in the technology side of it,” says an RBI official who declined to be named.

“The dependence created by the use of third-party APIs can lead to other risks such as system vulnerabilities, outages, and deterrence from the service levels agreed upon. Also, increased anxiety over consumer privacy coincides with increased data sharing, which can be misused or abused directly,” says Shams Tabrej, CEO of fintech firm Ezeepay.

“Cybersecurity is a shared responsibility. Banks must protect systems, educate customers, and continuously upgrade protocols to stay ahead of cybercriminals. However, customers also play a critical role by safeguarding their credentials against evolving social engineering tactics,” says Khara.

Tashwinder Singh, CEO and MD of Niyogin Fintech Limited, says a significant concern is the potential for widespread system failures due to overreliance on interconnected digital systems and third-party APIs, where a single vulnerability could cripple multiple services.

“As innovation surges ahead, regulatory frameworks struggle to keep pace, leaving consumers vulnerable in many sectors,” says Singh.

Clearly, the banks have to be on guard in the current challenging and dynamic operating environment. In the pages that follow, read about some of the banks and NBFCs that have managed to do well despite the challenges. **BT**

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